was dependent on the availability of loans to subsequent buyers, this created the need for even more lending. The economy was returning to the pre-Depression mentality of growth through debt.

In the 1970s, the government was no longer just the guarantor of loans. It was the stimulator of massive debt. The economy had become totally dependent on consumers' borrowing to keep it going. The traditional requirements for qualifying borrowers fell by the wayside as lenders sought wider markets for their loans. No longer was the rule in mortgage loans 25 percent of the husband's salary. Now it was 40 percent of both incomes. Car loans were extended to sixty months and often had balloon payments of up to 40 percent at the completion of the loan period.

By the 80s and 90s, debt had become the engine that fueled the entire economy, and consumers were forced to borrow even the equity out of their homes in order to educate their children and purchase cars. In the 90s, leasing automobiles, previously a practice for businesses only, almost became a way of life. Is it any wonder that in the midst of this steamroller of debt financing the average family experienced financial problems?

The problem of personal debt only worsened in the decade following 2000. Under the Community Reinvestment Act, the federal government had begun to pressure banks into making sub-prime housing loans in the 1990s. That pressure, coupled with an implicit understanding that the federal government would underwrite risky, sub-prime loans, caused an epidemic of personal debt to break out across America. Mortgages totaling hundreds of billions of dollars were handed out to low-income (or no-income) individuals who had no means of repaying them.[4]

Government sponsored enterprises such as the Federal National Mortgage Association (Fannie Mae) and the Federal Home Loan Mortgage Corporation (Freddie Mac) had for years masked the problem by buying up this "bad paper," but the bill came due in September 2008 as the federal government was forced to directly take over Fannie Mae and Freddie Mac, placing the bankrupt